CSIS AUSTRALIA CHAIR

Australia Daily Brief

Monday, October 26, 2026

1,848 words · 7 min read

RE: Fiji coalition at risk of collapse · Parliament resumes for Haines tribute amid civility push · NZ early voting opens, no frontrunner · PNG passes LNG bills · Coalition unveils $31b costings

ASX 200	AUD/USD	NZX 50	NZD/USD
8,810	0.7036	13,734	0.5689
-0.40%	+0.76%	-0.14%	+0.41%

IN THIS ISSUE Top Stories · Overnight · Stat · AUKUS · Pacific · New Zealand · China-Pacific · Canberra · Markets · Upcoming · The Wire · Analysis

TODAY AT A GLANCE

1. Fiji's SODELPA opposition has put a constitutional reform bill at risk, with Prime Minister Rabuka warning the ruling coalition could collapse over the dispute.
2. Parliament resumed in Canberra under heightened security for tributes to Helen Haines, while crossbenchers labelled Angus Taylor's response to the attack 'tone deaf.'
3. New Zealand opened early voting for its November 7 general election with no clear frontrunner, twelve days before polls close.

TOP STORIES

NZ-POLITICS

Early voting opens in New Zealand with no clear frontrunner

Early voting opened Monday ahead of New Zealand's November 7 general election, with Reuters reporting no clear frontrunner between **Christopher Luxon**'s National-led coalition and the Labour opposition. The result will test the National-ACT-NZ First coalition's foreign and defence settings twelve days before polls close.

per Reuters: "Early voting opens in New Zealand for November 7 election with no clear frontrunner"

AU-POLITICS

Parliament returns under heightened security for Haines tribute

Federal Parliament resumed Monday with tributes to **Helen Haines**, the independent MP for Indi who lost both legs in an alleged attack outside her electorate office last week, under increased security measures. AP reported the chamber's rare bipartisan unity already fraying within days, as crossbenchers pressed colleagues to adopt a formal civility pledge rather than merely calling for calmer debate.

per SMH (Natassia Chrysanthos): "The cardboard cockatoo, the empty seat and a parliament's reckoning with rage" · also AP

TRADE-ECONOMY

PNG parliament passes four LNG bills, clearing path for $14.5bn project

Papua New Guinea's parliament unanimously passed four legislative amendments tied to the Papua LNG project, a step Prime Minister **James Marape** cast as clearing the way for the *$14.5 billion* development. The vote comes as Marape separately orders an economic taskforce to curb government overspending and lift domestic revenue.

per Islands Business: "PNG parliament passes four LNG bills unanimously, clearing a step toward $14.5 billion project"

PACIFIC-POLITICS

Fiji's Rabuka warns coalition could collapse over constitutional bill

Fiji's opposition SODELPA has put a constitutional reform bill at risk, with Prime Minister **Sitiveni Rabuka** warning the ruling coalition could collapse over the dispute, per a PACNEWS wire roundup. SODELPA has appointed a new deputy leader and is challenging the People's Alliance Party over the reform, as a Pacific church group separately called for a review of Israel's new Pacific Islands Forum development-partner status.

per Islands Business (PACNEWS): "PACNEWS ONE, 26 OCTOBER 2026"

OVERNIGHT

TRADE-ECONOMY

RBA's Hunter: inflation fight 'not quite yet' done · Bloomberg

Reserve Bank chief economist **Hunter** told 60 Minutes the central bank is "not quite" finished tackling inflation, Bloomberg reported, as markets price in a growing chance of a rate rise. The remarks land two weeks after the RBA held its cash rate at 4.35 percent for a second consecutive meeting.

TRADE-ECONOMY

Air New Zealand first to land at Western Sydney Airport · RNZ Pacific (wire)

Air New Zealand flight NZ-165 from Auckland became the first international passenger flight to land at Western Sydney International Airport on Monday, touching down at 7.28am before departing ninety minutes later. The airline will fly the route three times weekly until the end of March 2027.

TRADE-ECONOMY

NAB advertises senior roles in India, Vietnam amid local cuts · AFR

National Australia Bank is advertising senior management positions in India and Vietnam, describing its overseas operations as "ramping up and growing at a very fast pace," even as it shrinks its Australian workforce, the AFR reported.

AU-FOREIGN-POLICY

Israeli diplomat says bilateral ties at 'crisis' levels · The Australian

A senior Israeli diplomat described relations with Canberra as being at "crisis" levels, criticizing Australian foreign policy including its position on Palestinian recognition, The Australian reported.

TRADE-ECONOMY

Australian pension fund buys into French bond rout · Bloomberg

Australian Retirement Trust is wading into the French government bond market during a rout other investors are shunning, Bloomberg reported, a bet on continental yields most funds have avoided.

STAT OF THE DAY

$28 million

Australia's pledge to Fiji's new Pacific digital skills hub

Announced as Fiji opened the hub at the University of the South Pacific to train workers in AI and cybersecurity, one of the clearest dollar figures in today's Pacific development diplomacy.

Islands Business

AUKUS WATCH

PILLAR 2 · ASPI STRATEGIST

ASPI: Ghost Shark mine-laying confirmed, readiness question unresolved

The government's October 19 confirmation that **Ghost Shark** uncrewed submarines can lay up to twelve mines at a time leaves unanswered whether Australia can act fast enough to use the capability, ASPI Strategist analysis argues. The piece frames the gap as a Pillar 2 readiness problem rather than a technology one.

PACIFIC WIRE

FIJI · ISLANDS BUSINESS

Fiji opens Pacific digital skills hub with $28 million Australian pledge

Fiji has opened a new digital skills hub at the University of the South Pacific aimed at training workers in artificial intelligence and cybersecurity, with Australia pledging *$28 million* toward the project, Islands Business reported.

PAPUA NEW GUINEA · ISLANDS BUSINESS

PNG parliament opens debate on Bougainville independence referendum

Papua New Guinea's parliament has begun a landmark debate on how to respond to Bougainville's 2019 independence referendum, Islands Business reported, a result Port Moresby has yet to formally act on more than seven years later.

PAPUA NEW GUINEA · ISLANDS BUSINESS

Marape orders economic taskforce to curb spending, raise revenue

Prime Minister **James Marape** has ordered Papua New Guinea's economic leadership to shift focus from public spending to raising revenue, directing officials to curb overspending, Islands Business reported.

SOLOMON ISLANDS · ISLANDS BUSINESS

Solomon Islands perspective highlights journalist safety concerns

Islands Business examines journalist safety in Solomon Islands, noting reporters covering government decisions and elections face growing risk across the Pacific.

AMERICAN SAMOA · ABC PACIFIC

American Samoa groups sue US government over deep-sea mining leases

Environmental groups and traditional chiefs in American Samoa, including the council of chiefs Faleula o le Manu'atele, have sued the US government to halt the sale of deep-sea mining leases covering more than *31 million acres* of seabed, ABC Pacific reported. It is the second legal challenge, after an August suit argued the sale requires an endangered species review.

PAPUA NEW GUINEA · ABC PACIFIC (WANTOK)

PNG parliament debates quality of Connect PNG road spending

Papua New Guinea's parliament debated the twenty-year Connect PNG road program, with former prime minister **Peter O'Neill** telling parliament the government has already spent close to three to four billion kina on the network while questioning the quality of roads delivered.

NEW ZEALAND

NZ-FOREIGN-POLICY · RNZ NATIONAL

Luxon denies seeking to update Samoa treaty, calls it low priority

Christopher Luxon denied he sought to update New Zealand's principal bilateral agreement with Samoa, despite his Samoan counterpart, named in the report as La'auli, reportedly claiming otherwise. Luxon said revising the treaty is "not a priority for us at this time," RNZ reported, twelve days before New Zealand's own election.

CHINA IN THE PACIFIC

MICRONESIA (FSM) · OTHER · ISLANDS BUSINESS (PACNEWS)

Expert says Micronesia 'on the front line' of Chinese activity

A Pacific security expert cited in a PACNEWS wire roundup describes the Federated States of Micronesia as being "on the front line" of Chinese activity in the region, as Japan and Micronesia separately reaffirmed Pacific unity ahead of the PALM 11 summit. Micronesia is one of three Forum members in a Compact of Free Association with the United States.

CANBERRA POLITICS

AU-POLITICS · GUARDIAN AUSTRALIA

Taylor criticised as 'tone deaf' after response to Haines attack

Crossbenchers **Zali Steggall** and **Monique Ryan** labelled Opposition Leader **Angus Taylor**'s parliamentary response to the alleged attack on **Helen Haines** "tone deaf," saying he failed to "read the room," the Guardian

reported. Parliament returned a week after the Indi MP lost both legs; a 43-year-old man has been charged.

AU-DEFENSE · ABC NEWS

NSW premier calls Victoria Barracks sale a 'missed opportunity'

Defence personnel at Sydney's 176-year-old Victoria Barracks are "packing boxes" ahead of a Christmas eviction, ABC News reported, despite NSW Premier **Chris Minns** urging Canberra to reverse the sale. The barracks is one of 67 Defence properties earmarked for sale nationwide, a program expected to generate up to *$3 billion*, with former prime minister **John Howard** among protesters at a weekend rally.

AU-POLITICS · ABC NEWS

Coalition releases partial costings for $31 billion in spending cuts

Opposition Leader **Angus Taylor** released costings showing proposed cuts to Labor's climate and housing initiatives, plus stripping welfare and NDIS access from permanent residents, would save *$31 billion* over four years. The update, unusually early in the political cycle, excludes the cost of migration cuts and the pledge to scrap Labor's tax cuts.

AU-POLITICS · SMH FEDERAL POLITICS

Taylor bets on climate retreat as rate-hike odds climb

Markets are pricing in a fifth rate hike next week after RBA chief economist **Hunter** told 60 Minutes the bank was "not quite" done fighting inflation, SMH's Paul Sakkal reported. Taylor is wagering that retreating from climate policy will blunt Labor's inflation attacks ahead of the Reserve Bank's next decision.

AU-DEFENSE · POLITICO CANBERRA PLAYBOOK

Defence land selloff draws multiparty opposition in Canberra

Politico reports the federal government's plan to sell underused Defence properties, including Victoria Barracks and HMAS Penguin, has drawn opposition spanning the political spectrum, from former prime minister John Howard to One Nation supporters and Greens-aligned protesters.

BUSINESS AND ECONOMY

TRADE-ECONOMY · ISLANDS BUSINESS

Tuvalu, Fiji recycling programmes turn containers into export revenue

Tuvalu completed its first export of recycled PET flake while Fiji recovered more than *17.7 million* beverage containers, Islands Business reported, as Pacific collection schemes begin generating export revenue from recycling.

TRADE-ECONOMY · ABC NEWS

Perfection Fresh admits price-fixing vegetables sold to Aldi

Perfection Fresh Australia, the country's second-largest fresh produce supplier, admitted to cartel conduct on eleven occasions between 2019 and 2020, fixing broccoli, cauliflower and lettuce prices sold to Aldi stores in New South Wales. The company agreed to pay a *$12 million* penalty, subject to Federal Court approval; the ACCC's case against three other suppliers continues.

TRADE-ECONOMY · AFR

NextDC chairman to step down, CEO forgoes bonus after downgrade

Data centre operator **NextDC**'s chairman will step down and chief executive Scroggie will forgo his fiscal 2027 bonus following last week's earnings downgrade and project delay, the AFR and Reuters reported. The company faces a possible board spill at next month's AGM as shareholders demand greater accountability.

UPCOMING

NOV 7

New Zealand general election

Determines whether the National-ACT-NZ First coalition continues, with early voting opening today twelve days out.

NOV 2026

RBA monetary policy decision

Markets are pricing a growing chance of a rate rise after the RBA chief economist said the inflation fight is 'not quite' done.

NOV 2026

NextDC annual general meeting

Shareholders could force a board spill after last week's earnings downgrade and the chairman's planned departure, a live test of confidence in Australia's AI data centre buildout.

THE WIRE

AU-POLITICS

SMH FEDERAL POLITICS

Voters want local AI safeguards as data centre concern rises

A Resolve Political Monitor survey found voters want local laws to constrain AI amid fears data centres will harm communities, SMH reported, as backlash against the sector's buildout grows.

THE CONVERSATION AU

Can a 'civility pledge' lower the temperature of Australian politics?

Commentary in The Conversation examines whether a formal civility pledge could calm Question Time and social media debate, noting many politicians accept they need to do more even as they resist constraints on robust argument.

TRADE-ECONOMY

BLOOMBERG

Bloomberg profiles Australia's biggest battery-powered ferry build

An 83-year-old Australian shipbuilder is delivering what Bloomberg describes as the world's biggest battery-powered ferry, part of a broader push toward electric vessel manufacturing.

BLOOMBERG

Australian regulator warns higher market risks may hit liquidity

An Australian financial regulator has warned that elevated market risks could affect liquidity conditions, Bloomberg reported, without specifying which markets are most exposed.

ANALYSIS AND OPINION

JACK SALMON · DEVPOLICY BLOG

Why Tonga's Chinese debt won't be forgiven, and who pays instead

Jack Salmon writes that while China has cancelled significant developing-country debt, that relief has almost entirely consisted of interest-free loans administered through the Ministry of Commerce and the China International Development Cooperation Agency, an instrument reserved for smaller projects. Tonga's larger

commercial debt to China is not covered by this channel, and repayments are now peaking. Salmon argues Australia is quietly picking up the slack as Beijing shows no sign of forgiving the bigger loans.

Argument: China's Pacific debt relief has been limited mostly to small interest-free loans administered through commerce-ministry channels, not the larger commercial loans weighing on Tonga, leaving Canberra to effectively absorb the fiscal gap as Tonga's repayments to Beijing peak.

NOT SPECIFIED IN SOURCE · ASPI STRATEGIST

Forget the grid. Northern Territory data centres could bring their own power

The piece argues that as established data centre markets struggle to connect large new facilities to the electricity grid, the Northern Territory offers room for developers to build their own power supply. It frames this as a comparative advantage for attracting investment in northern Australia as community backlash against AI data centres' grid demands grows elsewhere.

Argument: Australia's next major data centre opportunity may lie in the Northern Territory, where developers could build dedicated power generation rather than compete for scarce grid connections in saturated markets.

NOT SPECIFIED IN SOURCE · LOWY INTERPRETER

Australia's green iron gamble needs more ambition to convince Asia

The Interpreter piece argues Australia's bet on green iron needs more ambition to convince Asian steelmakers to adopt it. It warns that speed and credible emissions credentials, not just resource endowment, will determine whether Australian iron retains its market position as East Asia decarbonises steelmaking.

Argument: Keeping Australian iron relevant to East Asia's steel decarbonisation effort requires faster investment and stronger green credentials than currently on offer.

CSIS Australia Chair

AUSTRALIA DAILY BRIEF

Washington, D.C.

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